



Over the past year, TSLA shares are up 57.6%, versus a gain of 8% for the broader market. The 52 week trading range is \$167.41 to \$488.54. The Argus A6 target price is \$289 representing a 5% gain from the current level.

Tesla is a vertically integrated battery electric vehicle automaker and developer of autonomous driving software.

Growth Analysis	GAAP Data					Growth Rates		
	2020	2021	2022	2023	2024	1-Year	3-Year	5-Year
Revenue (B)	31.5	53.8	81.5	96.8	97.7	1%	82%	297%
Gross Margin	21%	25%	26%	18%	18%	-2%	-29%	8%
Operating Income (B)	2.0	6.5	13.8	8.9	7.8	-13%	19%	NM
Interest Expense (M)	748.0	371.0	191.0	156.0	350.0	124%	-6%	-49%
Pre Tax Income (B)	1.2	6.3	13.7	10.0	9.0	-10%	42%	NM
Net Income	690.0M	5.5B	12.6B	15.0B	7.1B	-52%	29%	NM
EPS	.21	1.63	3.62	4.30	2.04	-53%	25%	NM
Dividend/Share	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
Shares Outstanding (B)	3.2	3.4	3.5	3.5	3.5	0%	3%	32%
Market Cap (B)	2292.7	3579.3	428.1	866.0	811.9	-6%	-77%	NM
Book Value (B)	21.71	28.47	44.11	62.02	71.44	15%	151%	NM

Financial Condition	GAAP Data					Growth Rates		
	2020	2021	2022	2023	2024	1-Year	3-Year	5-Year
Cash / Short Term Inv. (B)	19.4	17.7	22.2	29.1	36.6	26%	106%	483%
Current Assets (B)	26.7	27.1	40.9	49.6	58.4	18%	115%	382%
Current Liabilities (B)	14.2	19.7	26.7	28.7	28.8	0%	46%	170%
Working Capital (B)	12.5	7.4	14.2	20.9	29.5	42%	299%	NM
Short-Term Debt (B)	1.8	1.1	1.0	2.0	2.3	19%	115%	67%
Long Term Debt (B)	8.5	4.3	1.0	2.7	5.5	106%	30%	-47%
Total Debt (B)	13.3	8.9	5.7	9.6	13.6	42%	54%	-7%
Shareholders Equity (B)	22.2	30.2	44.7	62.6	72.9	16%	142%	NM

Ratio Analysis	Trend							
	2020	2021	2022	2023	2024	1-Year	3-Year	5-Year
Operating Margin	6%	12%	17%	9%	8%	Lower	Lower	Higher
Net Margin	2%	10%	15%	15%	7%	Lower	Lower	Higher
ROE	5%	21%	34%	28%	11%	Lower	Lower	Higher
ROA	2%	10%	17%	16%	6%	Lower	Lower	Higher
Current Ratio	1.9	1.4	1.5	1.7	2.0	Higher	Higher	Higher
Interest Coverage	2.5	18.1	72.8	64.9	26.7	Lower	Higher	Higher
Dividend Payout Ratio	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
L-T Debt/Equity	49%	23%	8%	10%	14%	Higher	Lower	Lower
Total Debt/Total Cap	33%	19%	8%	9%	12%	Higher	Lower	Lower

Valuation Analysis	Trend							
	2020	2021	2022	2023	2024	1-Year	3-Year	5-Year
Price - Year End	705.67	1056.78	123.18	248.48	232.10	Lower	Lower	Lower
52-Week High	11193.75	1229.91	2783.88	293.34	263.26	Lower	Lower	Lower
52-Week Low	330.21	558.70	109.10	108.10	142.05	Higher	Lower	Lower
P/E High	52470.8	753.0	769.0	68.2	129.0	Higher	Lower	Nil
P/E Low	1547.9	342.1	30.1	25.1	69.6	Higher	Lower	Nil
P/S High	1213.0	89.5	Nil	Nil	9.5	Nil	Lower	Lower
P/S Low	35.8	40.7	Nil	Nil	5.1	Nil	Lower	Lower
P/B High	2011.0	140.9	Nil	Nil	12.1	Nil	Lower	Lower
P/B Low	59.3	64.0	Nil	Nil	6.5	Nil	Lower	Lower
Yield High	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
Yield Low	Nil	Nil	Nil	Nil	Nil	Nil	Nil	Nil
Return	69%	50%	-88%	102%	-7%	Lower	Lower	Nil

Argus Rating: **HOLD**

Rating Since: 08/15/24

Current Price: \$275.35

Target Price: \$289.00

Market Cap: \$886.9 billion

Dividend: Nil

Yield: Nil

Beta: 2.31

Sector: Consumer Discretionary

Industry: Automobile Manufacturers

Argus A6 Sub-component Scores

H High **M** Medium **L** Low

L Industry
Earnings revisions, analyst conviction, performance and historical industry weighting.

M Management
Consistency of growth & financial strength.

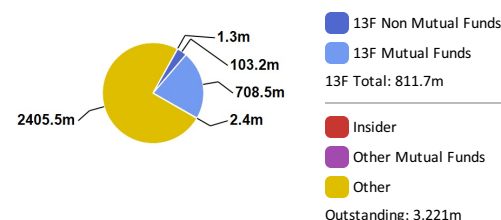
M Safety
Liquidity, dividend yield, market cap, debt leverage and stock price beta.

M Financial Strength
Balance sheet debt and liquidity ratios.

M Growth
Normalized earnings estimates and sales trends.

L Value
Price/earnings, price/sales ratios, trend lines, and DCF valuation.

Vicker's Institutional & Insider Holdings



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Peer Comparison Table: Consumer Discretionary

Ticker	Company	Price(\$)	Market Cap (Millions \$)	5-yr EPS Growth Rate	Current FY P/E	Net Margin	1-yr EPS Growth Rate	Argus Rating
TSLA	TESLA INC	275.35	886,890.29	Nil	136.06	6%	-53%	HOLD
GM	GENERAL MOTORS CO	45.46	43,706.82	39%	3.65	4%	-13%	BUY
F	FORD MOTOR CO	10.44	40,775.47	Nil	7.00	3%	35%	HOLD
Peer Average			323,790.9	13%	49	4%	-10%	

Our rating on the Consumer Discretionary sector is Under-Weight. CPI inflation grew at a tame 1.5% average from 2008 through 2017, and the first round of tariffs had only a muted impact on overall spending. CPI inflation increased at an average 3.6% pace from 2017 through 2024, however. We believe the lower two-thirds of consumers, representing 45% of overall consumer spending, are straining to meet current expenses and will reduce spending on consumer durable and discretionary goods should tariffs become widely enacted.

As of the end of March, the sector accounted for 10.3% of the S&P 500. Over the past five years, the weighting has ranged from 8% to 12%. The sector was underperforming the market, with a loss of 14.0%. It outperformed in 2024, with a gain of 29.1%, compared to a gain of 23.3% for the S&P 500.

The sector's P/E ratio on projected 2025 EPS was 22, above the market multiple. Yields of 0.5% were below the market average. The sector's smoothed earnings growth rate of 10% was equal to the market average.

Key Sector Trends

Autos

- For 2025, we forecast a U.S. SAAR (seasonally adjusted annual rate) of 16.3 million vehicles, up 2.5% from 15.9 million in 2024. Our forecast for retail automotive is largely optimistic, as car buyers should expect plenty of vehicle availability, competitive incentives and for the foreseeable future, good news on auto loan rates.
- The electric vehicle (EV) market is expected to grow in 2025 with sales of electric vehicles (EV's) projected to reach approximately 15.1 million units, a 25%-30% increase from 2024 levels, representing about 16.7% of global sales.
- In addition, we expect that retailers should see healthy demand from qualified buyers. Looking ahead, we are optimistic about 2025, as we believe there are plenty of reasons to believe it will be the best year since 2019.
- Top Stock Picks: General Motors

Restaurants

- Companies offering value menus are likely to see growth above that of their peers.
- To make ordering more convenient, restaurants have been focusing on mobile ordering and deliveries.

- Restaurants have been retaining current customers and attracting new ones through the use of loyalty programs.

Lodging and Travel

- Cruise industry supply and demand appears favorable, with capacity growth in line with pre-pandemic levels and leisure spending above average.

Lodging companies' unit growth plans and prospects for better-than-expected international performance bode well for growth.

- Online travel agents have benefited from travelers' desire to book their trips. International travel markets have weakened, especially in China.

Gaming

- Macau is the world's largest gaming market and we expect eventual recovery to drive growth at hotel/casinos there. To grow further, gaming companies are emphasizing online and sports betting.

Retailers, Apparel and Accessories

- High-income consumers are doing very well. Unemployment for college-educated workers is low, and their assets have grown from rising stock and real estate markets. Lower-income shoppers are struggling with food, housing, and transportation costs.
- At a time when customers are being careful about how much they spend, Amazon continues to lower prices and is pursuing multiple initiatives to lower costs.
- Retailers are looking to create new revenue streams, from in-store advertising, membership programs, selling proprietary data and creating online marketplaces where they earn a fee for selling other retailers' merchandise.
- Shoe companies with unique offerings targeted to high-income consumers should do well.
- About 75% of U.S. homeowners with mortgages are locked in below 4.5%. We believe many them will stay put and make improvements to their existing home.

Home Builders

* The underlying fundamentals of the housing market remain strong, but affordability will remain a challenge as a result of high home prices and still-elevated mortgage rates.

* The supply of both new and existing homes at affordable price points remains limited and demographics supporting housing demand remain favorable.

Argus A6 Quantitative Universe

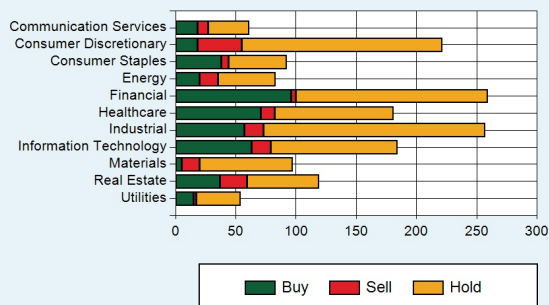
Our A6 Quantitative Universe includes more than 1,500 companies that are diversified across all asset classes and industry sectors. Ratings for these companies are derived through a proprietary algorithm we have designed and tested so that the ratings are based on our fundamental Six-Point System. Our A6 Quantitative Ratings include sub-ratings for each of the six factors.

The A6 algorithm is designed to capture and analyze financial trends for each company under coverage. Companies are measured against their historical record, peer group, and the broad market. For each covered company, the A6 algorithm generates a subrating for growth, financial strength, industry outlook, management, risk/safety and valuation. These scores are totaled and provide an overall rating for each company. The A6 algorithm rates stocks on growth based on normalized earnings estimates and sales trends, among other factors. Our financial strength ranking is based primarily on balance sheet debt and liquidity ratios. For risk, we factor in liquidity, dividend yield, market cap, debt leverage and stock price beta. Our valuation subrating includes factors such as price/earnings and price/sales ratios, trend lines, and discounted cash flow valuations. Ratings are reviewed weekly.

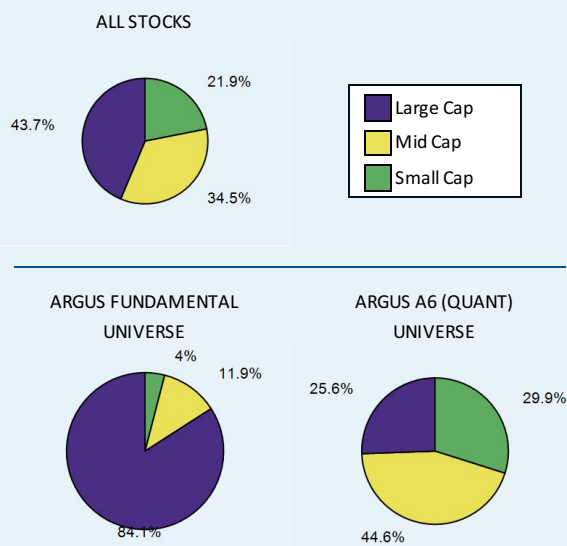
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